

BUSINESS CASE | JUNE 2025 | AERCHAIN + ADANI GROUP

Procurement at the Speed of Thought

A bottom-up, channel-by-channel case for unlocking \$0.45B–\$0.75B in identified annual value across the Adani Group's ~\$12B addressable & influenceable spend — carved out of a ~\$28B gross procurement engine — by orchestrating AI-native sourcing on top of the existing SAP estate.

SPEND STREAM	ADDRESSABLE PENDING	PROCUREMENT CYCLES	CATEGORIES
~\$3B–\$23B	~\$12B	~300K / yr	140–300
PREPARED FOR	REINFORCED BY	CUSTOMISATION	
Adani Group — Group Procurement & CPO Office	Aerchain (Arihwa E-Commerce Private Limited)	Strictly Confidential	

Executive Summary

Identified annual value \$0.45–0.75B at steady state, on ~\$2B addressable spend	Cycle-time reduction ~40% complex sourced categories: ~2d → ~1d*	Buyer capacity unlock ~2–3x strategic throughput, no net hiring	Payback < 12 MO value dwarfs total T1 cost (~\$0.75B)
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The Adani Group already runs one of India's most digitally mature procurement functions — SAP Ariba and SAP Business Network across ~24 businesses, ~300,000 procurement cycles a year, of which ~100,000 become formal POs — the rest are catalog, non-PO, tail and invoice events — and ~94% first-time-right digital invoicing. The remaining opportunity is not digitalisation; it is **orchestration and judgment at scale**, concentrated in the low-maturity **tail, non-PO and tactical** zone rather than the already-digitised strategic core. By layering Aerchain's AI-native sourcing suite on top of the existing SAP estate, the Group can compress cycle times, redirect scarce buyer hours from administrative churn to high-leverage negotiation, and capture **\$0.45B–\$0.75B/yr** of conservatively modelled, bottom-up category savings on its **~\$12B addressable & influenceable spend** — while strengthening compliance, ESG screening, and audit governance.

The single message: Adani has built the rails; Aerchain runs the trains at the speed of thought — converting a mature-but-manual procurement engine into an autonomous one, with \$0.45–0.75B of identified annual value (on ~\$12B addressable spend) against a platform cost of ~\$2.3M/yr.

What we heard — Adani today

Credibility first. Adani is **not** a laggard to be fixed — it is a leader to be accelerated. The foundations below are exactly what make an AI-native orchestration layer land quickly and safely.

ADANI PROPERTY Standardise sourcing across 24 businesses without ripping out SAP	➔	Aearch S2P orchestration layer Sits on SAP Ariba / SAP/ANM – zero rip-and-replace , one playbook across BUS
ADANI PROPERTY Apply scarce buyer time only where judgment adds value	➔	Autonomous & Guided Sourcing AI-run, full & tactical, end-to-end – ~45% of buyer work returned to strategy
ADANI PROPERTY Get faster, more defensible savings on coal, fuel & EPC	➔	Strategic Sourcing • Cheesheet • e-Auction Should cost • auctions at scale on ~\$4.1B addressable strategic spend (EPC, heavy equipment, non-fuel logistics & services)
ADANI PROPERTY Control tail spend & off-contract leakage	➔	Catalog • Self-Service PO • Tail automation Maverick – 35–45% • +25% w guided buying
ADANI PROPERTY Onboard & risk-screen 7,865 suppliers faster	➔	AI Vendor Onboarding & Due Diligence Onboarding cycle – ~85% automated risk, 75% at entry
ADANI PROPERTY Support the coal-transition & decarbonisation agenda	➔	ESG Screening • Immutable Audit Ledger ESG scoring at onboarding – +20% compliance, full audit trail

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The opportunity — where the value is

Not every dollar of the \$20B is a sourcing lever. Before modelling savings, we carve the gross spend down to what is genuinely **addressable & influenceable** — and hold the commodity / captive remainder to the separate, non-savings-percentage value lens.

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Addressable-spend waterfall

(Cross-spend repeat is disregarded for speed that a sourcing company cannot move on price — Index-linked commodity & fuel, and intra-group /

Mandate mirror — Adani priorities map directly to Aerchain modules

Every stated Adani priority has a one-to-one Aerchain capability. Nothing here requires re-platforming.

ADANI PRIORITY Standardise sourcing across 24 businesses without ripping out SAP	Aerchain S2P orchestration layer Sits on SAP Ariba / S/4HANA — zero rip-and-replace , one playbook across BUs
ADANI PRIORITY Apply scarce buyer time only where judgment adds value	Autonomous & Guided Sourcing AI runs tail & tactical events end-to-end — ~40% of buyer weeks returned to strategy
ADANI PRIORITY Get faster, more defensible savings on coal, fuel & EPC	Strategic Sourcing + Cleansheet + Auction Should-cost + auctions at scale on ~40% addressable strategic spend (EPC, heavy equipment, non-fuel logistics & services)
ADANI PRIORITY Control tail spend & off-contract leakage	Catalog + Self-Service PO + Tail automation Rewrite ~65–85% + ~50% via guided buying
ADANI PRIORITY Onboard & risk-screen 7,865 suppliers faster	AI Vendor Onboarding & Due Diligence Onboarding cycle ~90% automated risk / ESG at entry
ADANI PRIORITY Support the coal-transition & decarbonisation agenda	ESG Screening + Immutable Audit Ledger ESG scoring at onboarding; AI-audited compliance; full audit trail

The opportunity — where the value is

Not every dollar of the ~\$20B is a sourcing lever. Before modelling savings, we carve the gross spend down to what is genuinely **addressable & influenceable** — and hold the commodity / captive remainder to a separate, non-savings-percentage value lens.

Addressable-spend waterfall

Gross procurement is dissected for spend that a sourcing platform cannot move on price — index-linked commodity & fuel, and intra-group / related-party transfers — leaving the base on which savings percentages are actually applied.

SPEND LAYER	AMOUNT	RUNNING BASE	SAVINGS LEVER
Gross procurement Total spend across ~24 businesses	\$29.0B	\$29.0B	–
less Commodity & Fuel pass-through Coal / LNG / Fuel — index-linked, long-term contracted, partly captive	~\$7.0B	\$12.0B	cycle-time / benchmarking / compliance only
less Intra-group / related-party captive transfers, not open-market-sourced	~\$1.0B	\$11.0B	governance / audit only
Addressable & influenceable spend	~\$12.0B	\$12.0B	full savings % lever

Why this matters: the ~\$8B of commodity & captive spend is **excluded from the savings-percentage model**. It is index-linked, long-term-contracted or intra-group — a sourcing platform does not move its unit price. That \$8B still yields value, but only via **cycle-time compression, benchmarking transparency, and compliance / governance**, not a negotiated savings rate. Every savings figure in this case is applied to the ~\$12B addressable base, never the full \$29B.

The gross spend map below shows where the dollars sit across all channels (pre-carve-out); the savings model in Section 04 works strictly on the ~\$12B addressable subset.

CHANNEL	% OF SPEND	~\$ VALUE	% OF TXNS
Strategic Sourcing (RFx / negotiated) Structured RFx, high value, low volume	35%	~\$7.0B	~12%
Tactical Sourcing (guided RFQ) Repeatable mid-value buys	20%	~\$4.0B	~18%
Catalog / Self-Service PO Purchase & requisition to PO	20%	~\$4.0B	~34%
Non-PO / Services / RC Recurring & services invoices	15%	~\$3.0B	~22%
Tail (~\$50K, ad-hoc / local) Long tail, one-off, local buys	10%	~\$2.0B	~14%
Total	100%	~\$28B	100%

The Pareto / long-tail hook: roughly 28% of spend generates close to ~80% of transactions in the tactical and tail zone. Today, expensive strategic buyer hours are consumed processing low-value, high-frequency events. Aerchain reverses this: **procurement effort applied selectively where human judgment creates the most value**, with AI orchestrating the high-volume remainder autonomously.

COAL / LNG / FUEL 45% of spend — the strategic price	CAPITAL PROJECTS / EPC 25% \$5–\$3B capital buys, speed + value	INDIRECT + SERVICES + TAIL 30% Indirect 18%; services/EC 7%; tail 5%
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The savings model (bottom-up)

Modelled **channel-by-channel** on the ~\$12B addressable base (not the full \$29B), across five orchestrated Aerchain channels. Percentages are deliberately conservative. The sum is the headline value. The ~\$8B of commodity & captive spend is **excluded** here — it contributes value only through cycle-time, benchmarking and compliance / governance, not a savings rate.

CHANNEL	SPEND	SAVINGS %	ANNUAL SAVINGS
Strategic Sourcing EPC, heavy equipment, non-fuel logistics & services	\$4.0B	5–8%	\$280–\$200M
Tactical Sourcing Guided RFQ, mid-value repeatable	\$3.0B	4–7%	\$120–\$180M
Catalog & Self-Service Invoices — punch-out & guided requisition to PO	\$2.5B	2–4%	\$50–\$100M
Tail & Non-PO Autonomous events + off-contract recovery	\$1.5B	3–6%	\$45–\$90M
Services / RC Invoice Recurring / contract invoices	\$1.0B	2–4%	\$20–\$40M
Total — identified annual value (addressable)	\$12.0B	~3.6–6.3%	\$435M–\$760M

Read it as: \$0.45–0.75B of identified, addressable annual value on the ~\$12B influenceable base — conservative, modelled bottom-up by channel. These savings compound across years as contracts renew on improved baselines, catalog coverage widens, and autonomous coverage climbs from Wave 1 to Wave 3.

Sensitivity — conservative / base / upside

Three scenarios on the same ~\$12B addressable base, flexing the blended realised savings rate. Realisation carries execution risk (adoption, data readiness, wave sequencing) — but even the conservative case dwarfs the cost.

SCENARIO	ADDRESSABLE BASE	BLENDED RATE	ANNUAL VALUE
Conservative Slower adoption, partial wave coverage	\$12.0B	~3.0%	~\$360M
Base Planned rollout, expected realisation	\$12.0B	~4.0%	~\$480M
Upside Full coverage, best-case renew on renewal	\$12.0B	~6.3%	~\$760M

Realisation-risk note: value ramps with the wave rollout and is not realised in full on day one — expect ~38% of steady-state in Year 1, ~76% in Year 2, and 100% by Year 3. Even so, the **conservative ~\$360M** case still exceeds the ~\$45M total Year-1 investment by ~8x+ — the downside case remains overwhelmingly positive.

Double-click the benefits, decomposed

This is the core of the document. Each benefit is decomposed at three altitudes — (a) **Mechanism** (how the AI achieves it), (b) **Resource & time analysis** (where the hours/days go, today vs. after), and (c) **Calculation** + \$ value & ROI (baseline + improved + delta + dollars).

Hard-dollar category savings

Three marquee channels carry the bulk of the hard-dollar case, all on the ~\$12B addressable base. Each is a 'today vs. with Aerchain' delta driven by a specific AI mechanism.

Where the gains actually live: Adani already runs ~94% first-time-right and a mature Ariba backbone — so the efficiency upside is **not** in the already-digitised strategic core. It sits in the **tail, non-PO and tactical** zone: low process maturity, high transaction volume, and the bulk of off-contract leakage. That is where guided buying and autonomous events convert manual, unmanaged activity into governed, competed spend.

Strategic Sourcing — EPC, heavy equipment, non-fuel logistics & services Strategic: \$4.0B addressable spend; driver: consolidated demand & should-cost	WITH AERCHAIN Group demand is consolidated into single sourcing events; AI-enabled cleansheet / should-cost models set the negotiation floor; large-scale e-auctions run on qualified vendor pools. Human buyers own strategy and award.
TODAY Category managers negotiate RFx by e-mail on spreadsheets and prior-year price. Demand is fragmented across ~24 businesses, cleansheets, where they exist, are one-off and manual. Auctions are rare on complex categories.	5–8% + \$200–\$20M / yr Cleansheet + e-auction at scale
2–3% TYPICAL REALISED SAVINGS	

Tactical Sourcing — guided RFQ Tactical: \$3.0B addressable spend; driver: playbook-driven competition replacing ad-hoc buys	WITH AERCHAIN A guided RFQ playbook auto-drafts the event, invites qualified vendors, and normalises bids — making a competitive 3+ bid the default path, not the exception. Buyers approve, not assemble.
TODAY Mid-value buys are placed locally — often first-time, often on last price. Buyers clear in 10–15 min to run a proper 3-bid RFQ so competitive tension is left on the table across hundreds of events a year.	4–7% + \$120–\$10M / yr Playbook-driven guided RFQ
~1% COMPETITION CAPTURED	

Tail & Non-PO — leakage recovery Tail & Non-PO: \$1.5B addressable; driver: autonomous events + consolidation + off-contract recovery	WITH AERCHAIN Autonomous sourcing runs tail events without a buyer; demand is consolidated to contracted vendors; off-contract spend is intercepted and routed to catalog/negotiated rates. Maverick falls below 10%.
TODAY The high-volume, low-maturity zone — minimal oversight. Off-contract and maverick buying runs ~35–40% the same item is bought at different prices across BUs; non-PO leakage escapes.	3–6% + \$45–\$90M / yr Autonomous events + leakage recovery
35–45% MAVERICK / OFF-CONTRACT	

Marquee subtotal: \$280–\$200M (strategic) + \$120–\$180M (tactical) + ~\$45–\$90M (tail & non-PO) = \$360M–\$620M of the total identified value comes from these three alone.

Cycle-time reduction (~40%, complex sourced categories)

Mechanism — Sourced to complex sourced categories (structured RFx / negotiated events). AI compresses the manual, sequential steps of a complex sourcing cycle. RFx documents are generated from templates and prior awards in hours instead of days; incoming offers are OCR-parsed and normalised to a common schema in minutes; each vendor is scored against technical and commercial criteria automatically; and approvals/NFAs are auto-routed rather than chased by email.

Resource & time — The saved days come out of **buyer and category-manager** hours and out of **approval walk-time**. A complex event that ties up a buyer for parts of ~24 elapsed days now clears in ~14 — freeing both the buyer's active hours and the queue behind them. The **~24-day baseline is indicative, to be validated on Adani's data**.

Calc + \$ — Baseline median **~24 days+** improved **~14 days** = **~10 days (~40%)** on complex sourced categories. On a **\$5–\$5B capital-projects book**, faster award means faster mobilisation — each cycle-week saved advances capex deployment and releases working capital tied up in stalled projects.

Where the ten days come from — stage by stage:

STAGE	TODAY	AERCHAIN	DELTA
RFx drafting & scopeing AI generation from templates + prior events	5 d	1 d	~4 d
Offer extraction & normalisation OCR + AI parsing to a common schema	3 d	0.5 d	~2.5 d
Technical + commercial evaluation Per-vendor AI scoring vs. criteria	6 d	4 d	~2 d
Clarifications & negotiation AI drafts buyer decisions	5 d	3 d	~2 d
Approvals / NFA routing Auto-routing vs. manual chase	5 d	3–5 d	~1–5 d
Complex sourced-category P2P median	~24 d*	~14 d	~10d

* Sourced to complex sourced categories; the ~24-day baseline is indicative and to be validated on Adani's data.

Capex link to annual savings: \$5–\$5B capital-projects book, shaving 18 days off every sourcing cycle pulls mobilisation forward across the portfolio — a direct working-capital and time-to-revenue benefit on top of the price savings.

Buyer capacity / productivity (+35% + ~2–3x strategic throughput)

Mechanism — Autonomous and guided sourcing absorbs the tail and tactical admin that consumes most of a buyer's FTE. AI drafts RFx, normalises offers, scores vendors, and chases approvals — so the human buyer's hours shift from **assembling** events to **deciding** and **negotiating** them.

Resource & time — Reallocating the buyer-week tail/drain: **55% + 12%** supplier ops, **25% + 8%** tactical, **10% + 30%** strategic, **10% + 60%** Strategic time rises ~6x as a share — the practical effect is **~2–3x strategic throughput** per buyer and ~35% overall productivity.

Calc + \$ — Group sourcing org + **250 FTEs (illustrative — to be validated with Adani's actual team size)**. The arithmetic: 250 FTE × (2–3x strategic throughput – 1) = **~250–500 FTE-equivalent** of added strategic capacity — **without hiring** (it's a fully-loaded ~\$60–\$80M FTE that capacity is worth) — **~\$5–\$5M/yr** as an avoided headcount reference. **This is an alternative lens, not additive** to the hard-dollar savings — the freed buyer hours are the mechanism that captures those savings, so the two are not summed.

The buyer week, reallocated:

Tail / admin processing	Tactical buying	Supplier ops & expediting	Strategic sourcing
TODAY — THE BUYER WEEK 15% only ~10% on strategy	18% 15%	15%	15%
WITH AERCHAIN — THE BUYER WEEK 12% 60% on strategy	26% 8%	8%	8%

The arithmetic: 250 FTEs (illustrative) × (2–3x strategic throughput – 1) = **~250–500 FTE-equivalent** of added strategic capacity — unlocked without a single net-new hire. Capacity, not cost, becomes the constraint that Aerchain removes. Presented as an alternative lens on the same value, not a separate line added to the savings total.

Tail-spend & maverick control

Mechanism — Every requisition is routed through guided buying; if a contract or catalog price exists, the buyer is steered to it; if not, an autonomous event is triggered. Off-contract alternatives are intercepted at the point of demand, not discovered in an audit months later.

Resource & time — This is **demand-side** control — it does not add buyer hours, it removes the need for them. ~20% of spend / ~80% of transactions move from unmanaged to governed with no incremental headcount.

Calc + \$ — Maverick spend **35–45% + 10%** leakage recovery of **3–6%** on the ~\$12B addressable tail/non-PO base underpins the **~\$45–\$90M** in the savings model. Vendor consolidation across **7,865** tier-1 suppliers compounds the effect.

Before / after — the tail

TODAY — TAIL OUT OF CONTROL Maverick / off-contract Tail transactions Duplicate vendors Price variance same SKU Off-contract spend escapes negotiated rates; the same item is bought at many prices across ~24 BUs.	MAVERICK 35–45% ~80% of vol. 7,865 tier-1 high	WITH AERCHAIN — TAIL GOVERNED Maverick / off-contract Tail run autonomously Vendor base Leakage recovered Guided buying + autonomous events pull tail onto contracts; consolidation across 7,865 suppliers recovers 3–6% leakage.	CONTROLLED +18% majority control / listed 3–6%
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Vendor onboarding & due diligence (~50% cycle)

Mechanism — AI-driven onboarding collects and validates supplier documents, auto-runs due-diligence and sanctions/risk checks, and applies ESG screening at the point of entry — replacing weeks of manual back-and-forth.

Resource & time — Removes onboarding load from category and compliance teams; new suppliers reach first-PO readiness in days rather than weeks, accelerating time-to-value on new sources and MSME inclusion.

Calc + \$ — Onboarding cycle **~50% (+6 wks + 2–3 wk)**. Faster, safer supplier activation directly supports the **~35% MSME/local** agenda and shortens the path from sourcing decision to delivered value.

Before / after — onboarding

TODAY — MANUAL ONBOARDING Onboarding cycle Diligence Risk / ESG check Time to first-PO Documents chased over email; diligence is inconsistent across BUs; risk surfaces late.	~4–6 wks manual, email ad-hoc weeks	WITH AERCHAIN — AI ONBOARDING Onboarding cycle Risk / ESG check Time to first-PO AI collects & validates documents, runs automated diligence and ESG screening, and stands the vendor up in half the time.	~50% automated at entry days
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Compliance, governance & ESG

Mechanism — Every event, approval, and award is captured on an immutable audit ledger; policy is enforced in-flow (guided buying, mandatory competition thresholds, approval matrices); ESG criteria are screened at onboarding and re-qualified.

Resource & time — Shifts governance from **after-the-fact audit** to **in-flow enforcement** — compliance and internal audit teams review exceptions, not the whole population.

Calc + \$ — Compliance rate **+20%** + complete, tamper-evident audit trail across ~100K annual transactions. With **+60% of revenue coal-linked**, ESG screening at onboarding directly supports the Group's coal-transition and decarbonisation agenda — measurable supplier-level sustainability data, not attestations.

Compliance rate policy enforced in-flow	Audit trail Immutable ledger tamper-evident ledger, 100K tons	ESG screening Auto-enforcement supports coal-transition agenda	Coal exposure +60% of revenue — decarbonisation focus
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P2P / AP value — the pay-side (additional, not double-counted)

The sourcing savings table above is buy-side. The P2P module unlocks a separate, **pay-side** value pool once invoices and payments flow through the platform. This is **additional** to the ~\$0.45–0.75B sourcing case and is **not** included in that total — it is a distinct working-capital and AP-productivity lever.

MECHANISM	RESOURCE / TIME	\$ VALUE / yr	BASIS
Dynamic discounting / early payment capture early-discount on addressable AP spend	automated offers at invoice approval	~\$15–\$8M / yr	~20–30 bps on addressable AP
DPO optimisation / working capital pay-term discipline & timing control	payment scheduling on platform	working-capital release	one-time + recurring float
AP team productivity pay-term discipline & timing control	straight-through invoice processing	FTE effort avoided	lower cost-per-invoice
Duplicate payment & invoice-fraud avoidance AI match + anomaly detection pre-payment	flagged before disbursement	leakage avoided	~10–20 bps of AP typical

Read it as: pay-side adds an anchor **~\$25–\$50M/yr** from early-payment capture alone, plus working-capital release, AP productivity, and duplicate / fraud avoidance. **Clearly separate** from — and **additive** to — the buy-side sourcing savings; the two value pools are never summed into a single blended rate to avoid double-counting.

Risk, Compliance & ESG Value

Beyond hard-dollar sourcing savings, the platform creates a distinct risk-, control- and ESG-value pool — realised mostly in the P2P / AP and vendor-onboarding layers. Every figure below is **additional to the sourcing-savings model**, not double-counted against the ~\$0.45–0.75B on the ~\$12B addressable base.

How to read this section: these mechanisms sit **over and above** the buy-side sourcing case. They are captured in the **pay-side (P2P/AP)** and **onboarding layers** — a separate value pool, never summed into the sourcing rate.

MECHANISM	HOW THE VALUE IS CREATED	ANNUAL VALUE (ADDITIONAL)
Duplicate-payment & invoice-error avoidance 3-way match + AI duplicate detection on ~\$20B AP; industry leakage typically ~0.5%–0.6% of AP intercepted pre-disbursement		\$10–\$20M / yr
Invoice-fraud & anomaly avoidance AI anomaly detection on the AP stream flags fraudulent, altered or out-of-pattern invoices before payment (modelled).		\$5–\$15M / yr
Audit & control-cost reduction Immutable, tamper-evident decision ledger lowers external-audit and internal-control effort across ~100K annual transactions		\$1–\$3M / yr
Third-party / sanctions / adverse-media risk 100% automated screening coverage at onboarding vs. manual sampling — framed as avoided cost of a single major compliance breach (fines / remediation / reputation)		risk reduction
ESG & coal-transition governance 100% ESG screening at onboarding; supplier ESG KPIs and audit-ready decarbonisation reporting — strategic / board-level given ~60% coal-linked revenue		strategic
Quantifiable subtotal	additional to the sourcing-savings model, not double-counted — realised in the P2P/AP and onboarding layers	≈ \$16–\$38M / yr

Risk framing, not a hard line: the third-party / sanctions / adverse-media risk is presented as **risk reduction** rather than a fixed dollar figure — one avoided mid-size compliance breach can exceed the **entire platform fee**. ESG governance is likewise **strategic** and **board-level** for Adani, not booked as a dollar line.

Net of this section: a quantifiable **~\$16–\$38M/yr** in additional risk-, control- and pay-side value — **over and above** the ~\$0.45–0.75B sourcing model and realised **mostly in the P2P/AP and onboarding layers** — plus material, unpriced downside protection from breach avoidance and ESG governance.

The efficiency step-change

The benefits above roll up into a measurable step-change across four operational metrics — and a lift in **net procurement efficiency** from **~60–70% to ~80–88%**. Green bars show the improved state; deltas are consistent with every figure used elsewhere in this case.

Cycle Time complete category P2P	after	~40%
Buyer Productivity strategic throughput per FTE	after	+35%
Compliance Rate policy-compliant transactions	after	+20%
Onboarding Speed vendor time to first-PO	after	+50%
Net Procurement Efficiency end-to-end effectiveness	after	+15–25%

Cycle time ~40% 2d → 1d	Buyer productivity +35% ~2–3x strategic throughput	Compliance +20% in-flow enforcement	Onboarding speed +50% cycle halved
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Net effect: procurement efficiency moves from 60–78% to 80–88% — a **+15–25%** absolute lift in end-to-end effectiveness across the group.

ROI & payback

The investment case is asymmetric — but stated simply and **net of cost**. We size the return against the **total Year-1 realisation** (~\$45M), not just the platform run-rate, and we ramp the value with the wave rollout rather than assuming full implementation day one.

COMPONENT	AMOUNT	NOTE
Platform run-rate (SaaS) annual subscription	~\$2.1M	recurring
Implementation early integration value	~included	Year 1
Systems SI info-systems integration partner	~incl.	Year 1
Total Year-1 investment	~\$4.45M	platform + impl. + SI

Realisation ramp — value scales with the wave rollout; it is not realised in full on day one:

PERIOD	% OF STEADY-STATE	VALUE REALISED	COVERAGE
Year 1 Wave 1 — tail, ramp-up	~38%	~\$135–\$225M	early adoption
Year 2 Wave 2 — indirect + tactical	~76%	~\$315–\$325M	scaling
Year 3 — steady state	100%	\$0.45–0.75B	full coverage

STEADY-STATE VS. PLATFORM \$0.45–0.75B value vs. ~\$2.1M platform run-rate	STEADY-STATE VS. TOTAL Y1 \$0.45–0.75B value vs. ~\$4.45M total Year-1 investment	PAYBACK even Year-1 ramped value (~\$135–\$225M) clears the ~\$4.45M cost many times over
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THE VALUE-TO-COST RATIO — NET & HONEST Total Year-1 investment: platform + impl. + integrator ~\$4.45M _{Y1} Steady-state addressable annual value (P2B base) \$0.45–0.75B/yr Value dwarfed cost (non-PO, on total Y1 ~\$15–\$60M on platform) ~100–360x	Bottom line — steady-state value vs. total Year-1 cost \$0.45–0.75B vs. \$4.45M
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The fee is a rounding error — and it holds up under scrutiny even measured against the full ~\$4.45M Year-1 spend (not just the platform) and even in the conservative ~\$360M scenario; the fee is well under ~1–3% of the annual value at stake. This is not a cost decision — it is a capacity-to-capture decision.

Ariba cost-takeout — a second funding source

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